facts in a manner which enables the parties to know the essential facts regarding the matter under enquiry.

Auditing in Computerised Environment

- Auditing in a computerised environment is EDP (Electronic Data Processing) audit which is processing of data by the computer and its program in an environment involving electronic communication.

KEY TERMS

- **Auditing:** It is a detailed and critical examination of books of accounts by an independent and qualified person to ascertain the true and fair view of state of affairs of the business.
- **Auditor:** The person who checks the accuracy of the books of accounts and expresses an opinion on the financial statements of the business concern.
- **Investigation:** Investigation is a detailed examination of accounts and enquiry into the state of affairs of the business or for a specific purpose.
- **Error:** Errors are unintentional mistakes in the books of accounts.
- **Fraud:** False representation or entries made intentionally in the books to defraud somebody.
- **Clerical Error:** Errors that are committed in posting, totalling and balancing are called as Clerical Errors.
- **Error of Principle:** When a transaction is recorded in contravention of accounting principles is known as Error of Principle.
- **Compensating Error:** An error when committed on debit side is compensated by another error on credit side to the same extent is called as Compensating Error.
- **Error of Duplication:** Error of duplication arises when the transaction is recorded twice in the books of accounts or posted twice in the ledger.
- **Misappropriation of Cash:** Fraud which takes place by misappropriating cash.
- **Misappropriation of Goods:** Fraud in respect of misappropriating the goods.
- **Manipulation of Accounts:** Manipulation of accounts is the procedure to alter the books of accounts in such a way that there will be an increase or decrease in the amount of profit to achieve some personal objectives of the high officials.

XI_Auditing_Chapter_1.indd 22 20-02-2019 10:15:36